pay levels. To change the governance structure of CPPIB and its mandate requires approval by the federal government and two-thirds of the provinces representing two-thirds of the population. Senior vice president and chief investment strategist Donald Raymond comments, this is "more difficult than changing the Canadian constitution."

In many ways, NZSF is similar to CPPIB.[27] NZSF invests government contributions to New Zealand Superannuation. In 2029, the New Zealand government began making withdrawals from the NZSF to help meet the cost of pension benefits. NZSF is an independent crown entity. It is overseen by an independent board, called the Guardians Board, who operate at arm's length from the government but make quarterly reports to the Minister of Finance. The NZSF has a "double arm's length structure" from the government. First, the New Zealand government appoints an independent Nominating Committee. The government does not control the pool of candidates, making this the first arm of independence. The Nominating Committee identifies candidates for the Guardians Board. The Minister of Finance must select members from the list made by the Nominating Committee. The Guardians and management of NZSF decide investment policy and make investment decisions independent of government, which is the second arm of independence.

In both CPPIB and NZSF, board members are selected for skills and experience. This certainly helps, but I believe it is not a prerequisite. In some cases, recruiting investment professionals can shift the board away from the fund's base constituency and weaken legitimacy and the ability to communicate effectively with the fund's asset owners. Investment professionals who are especially close with financial intermediaries may in fact generate more agency problems, and potentially higher costs, in steering business toward those intermediaries.[28]

This has happened, for example, at Dartmouth College, where members of the board and endowment investment committee have been accused of enriching their own investment management firms.[29] Tellus Institute, a not-for-profit research and policy organization, puts Dartmouth in the spotlight for its large number of trustees and committee members involved in running money for the university.[30] It singled out the conflict of interests involved when CIO Davis Russ left in 2009. The investment committee chair and trustee Stephen Mandel played the CIO role on a voluntary part-time basis, but at the same time Mandel's firm, Lone Pine Capital LLC, managed money for Dartmouth's endowment. "It

[27] See information at http://www.nzsuperfund.co.nz/

[28] See Ang and Kjær (2011). Levit (2012) shows that in some situations, the expertise of some board members can actually subtract value.

[29] Diamond, R., "Dartmouth Board Members are Accused of Enriching Own Firms," *Pensions & Investments*, May 28, 2012.

[30] Tellus Institute, 2010, "Educational Endowments and the Financial Crisis: Social Costs and Systemic Risks in the Shadow Banking System, A Study of Six New England Schools."